STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Brooklyn Union Gas Company dba National Grid NY for Gas Service	**CASE 23-G-0225**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. dba Brooklyn Union Gas L.I. for Gas Service	**CASE 23-G-0226**

REBUTTAL TESTIMONY OF WILLIAM D. YATES, CPA

FOR THE

PUBLIC UTILITY LAW PROJECT OF NEW YORK, INC.

Dated: September 22, 2023

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Introduction And Overview

Q. Are you the same William D. Yates who presented direct testimony in these proceedings?

A. Yes.

Q. What is the purpose of your rebuttal testimony in these proceedings?

A. My rebuttal testimony focuses on three issues raised by one or more of the respective direct testimonies of the Department of Public Service ("DPS") Staff's Consumer Service Panel, Staff's Site Investigation and Remediation Panel, and the Companies' recent responses to Interrogatory Requests ("I/Rs") since the filing of my Direct Testimony in these proceedings on August 31, 2023, as corrected on September 19, 2023.[1] These topics include the Return on Equity, Customer Service matters, and Site Investigation and Remediation. Please note, PULP's rebuttal testimony is not inclusive of all our concerns.

Q. Are you sponsoring any exhibits in support of your rebuttal testimony?

A. Yes. I am sponsoring two (2) exhibits, as follows:

- Exhibit__(WDY-07): An update of Exhibit__(WDY-03), pages 8 - 9 pertaining to the Companies' computation of rate of return on common equity in cases 19-G-0309 and 19-G-0310, which was posted to DMM on August 31, 2023, and;
- Exhibit__(WDY-08): The Companies' responses to I/Rs PULP-59 and PULP-60, which were still outstanding as of August 31, 2023.

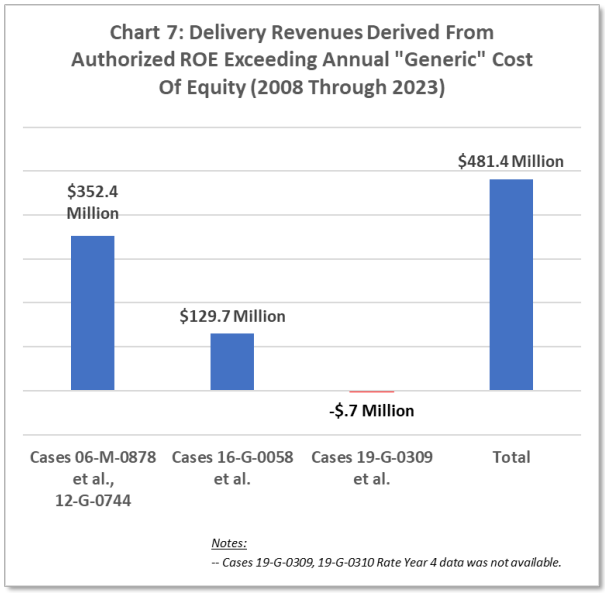
[1] *See* Corrected testimony of William D. Yates, Case 23-G-0225 et al., Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={B0B9AD8A-0000-C41F-BE4D-D33CCCC207E3}.

Revenue Requirement

Return on Equity

Q. Do you have an update of your direct testimony return on equity ("ROE") analysis for the KEDNY/KEDLI rate year ended March 31, 2023 ("RY3")?

A. Yes. On August 31, 2023, each company filed its RY3 Computation of Rate of Return on Common Equity in cases 19-G-0309 and 19-G-0310.[2,3] These reports show that DPS Staff's average 8.91% GFM ROE output during RY3 exceeded the Companies' authorized 8.8% ROE. As I forecasted in my direct testimony proposal for a new framework for authorizing utility ROEs in multi-year rate plans in New York State, collectively the Companies would have been entitled to a net true-up surcharge on customer bills related to RY3 earnings. My updated findings, which take into consideration RY3 results are summarized in Chart 7.



[2] *See*, *KEDNY Computation of Rate of Return on Common Equity*, Case 19-G-0309, at 1. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={70F14C8A-0000-CDEE-BE0B-29A0B308DA45}.

[3] *See*, *KEDLI Computation of Rate of Return on Common Equity*, Case 19-G-0310, at 1. Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={90F84C8A-0000-C21E-980B-D5967F1AE1FA}.

From 2008 through the rate year ended March 31, 2023, KEDNY/KEDLI ratepayers incurred a total of up to $481 million more in the cost of their gas service than they would have been the case had my direct testimony proposal for authorizing utility ROEs in their rate plans been in place during this period. This finding is slightly lower than my corrected direct testimony finding that up to $485 million could have been saved by ratepayers from 2008 through March 31, 2022.[4]

Q. Do the results for Rate Year 3 reflect the responsiveness of your proposed ROE framework to changing macroeconomic and investment expectations affecting the Companies' cost of capital?

A. Yes. As I indicated in my corrected direct testimony, in RY3, the average GFM ROE output in rate cases before the Commission rose to 8.9%, 0.1% higher than the fixed authorized ROE of 8.8% established in Cases 19-G-0309 et al.[5] The RY3 average reflected changes in macroeconomic and investor expectations affecting the Companies' cost of capital since the 2019 cases. Under my proposed ROE framework, and assuming no adjustments resulting from the evidentiary process included therein, KEDLI would be entitled to subsequently collect $3.9 million through a surcharge on customer bills. However, under the same assumptions, KEDNY would have been required to return $0.7 million to customers due to the fact that it achieved an actual ROE of 8.96% for RY3. The net surcharge for the two companies applicable to RY3 and the 2019 rate plans as a whole under these assumptions would have been $3.2 million and $0.7 million.[6] (Exhibit ___(WDY-07) at 2)

[4] *See*, *Corrected Testimony of William D. Yates, CPA for the Public Utility Law Project of New York, Inc.*, Cases 23-G-0225 et al, at 37, Available at: https://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={B0B9AD8A-0000-C41F-BE4D-D33CCCC207E3}.
[5] *Id*., at 53.
[6] *Id*., at 42-43.

Customer Service

Credit Card Payment Fees

Q. Please summarize the Companies' proposal relating to the elimination of processing fees on individual customers.

A. In National Grid's Downstate Customer Service Panel Testimony, the Companies propose to implement a "no-fee" model for credit and debit card payments.[7] Their proposal is to include the estimated cost to recover the fees incurred by KEDNY and KEDLI when residential customers make CC/DC payments in rates rather than charging a fee each time a customer makes a credit or debit card payment.[8] The Companies explained that their proposal comes in response to customer surveys indicating a preference for payments with no fee.[9] The Companies also believe transitioning to a no-fee model will benefit customers who receive public assistance benefits via pre-paid debit cards, as under the no-fee model, these customers will no longer be required to use a portion of their benefits to pay the administrative fee that is currently incurred.[10]

Q. What was Staff's position on the Companies' proposal to implement a no-fee model?

A. Staff's Consumer Panel testified that they were not in favor of the Companies' proposal.[11] Staff recommended that the Commission deny the proposal because they are concerned about a likely increase in transaction volumes and associated fees, and removing the fee by socializing the cost into the rate base would decrease transparency as well as remove the incentive for customers to provide feedback that could encourage further negotiation with card processors.[12] Staff did not comment on the Companies' belief that a no-fee model will benefit customers who receive public assistance benefits via pre-paid debit cards.

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[7] *See*, Direct Testimony of The Customer Panel, Cases 23-G-0225 et al., at 80.
[8] *Id.*
[9] *Id*., at 81.
[10] *Id*.
[11] *See*, Staff Consumer Services Panel, Cases 23-G-0225 et al., at 91.
[12] *Id*.

Q. Do you agree with Staff's recommendation to the Commission?

A. No, I do not. I understand the concerns raised by Staff about transparency and the possibility that customers may not have incentive to provide feedback, which may discourage the Companies from continued negotiations with card processors. I instead support the Companies' proposal due to its potential to decrease financial burdens felt by customers whose income comes from vital public benefits that when currently are used, incur fees when paying with the debit cards on which their benefits are provided. Therefore, I recommend that public assistance recipients should be offered this option, even if the Commission does not accept the Companies' broader proposal.

The Addition of Consumer Advocates

Q. Please summarize the Companies' proposal relating to the addition of Consumer Advocates and Staff's response to the proposal.

A. In the Customer Panel Testimony, the Companies propose adding three full-time Consumer Advocates to KEDNY's service territory and two full-time Consumer Advocates in KEDLI's service territory.[13]

Q. What reasons do the Companies cite to justify the addition of five new Consumer Advocates?

A. The Companies state that their "current staffing levels are not sufficient to serve the more than 690,000 potential LMI customers who could benefit from these programs,"[14] and that "the need for additional Consumer Advocates is being driven by the number of customers who can benefit from access to the myriad programs available to assist them."[15]

Q. What was Staff's position on the Companies' request for an additional five Consumer Advocates?

[13] Direct Testimony of the Customer Panel, *supra* note 7, at 29.
[14] *Id*.
[15] *Id*.

A. Staff recommended that the Commission approve only two of the three requested Consumer Advocates for KEDNY, and neither of the two requested Consumer Advocates for KEDLI.[16]

Q. Do you agree with Staff that the Companies' Request for five new Consumer Advocates should be decreased to two?

A. No.

Q. Why not?

A. I recommend that the Commission approve the Companies' request for all five additional Consumer Advocates. Each member of PULP's direct services team works with customers throughout New York State, and given our organization's caseload, there are inevitably several active cases at any point during the year with customers of KEDNY and KEDLI. As such, PULP works closely with the Consumer Advocates of both companies. Our work in empowering customers to get control of their utility bills would not be nearly as successful without the assistance of the Consumer Advocates.

Consumer Advocates work directly with our direct service team and with households that are at-risk for shutoff, connecting them with existing programs that can provide both one-time and long-term help in lowering their bills. When PULP hosts in-person and virtual events to provide education and direct assistance to customers in the Companies' service territory, the Consumer Advocates are there to help. The Companies also host their own community events where the Consumer Advocates can work directly with at-risk customers.

In my opinion, the Companies' Consumer Advocates play a vital role in providing assistance to the Companies' LMI customers. Based on my direct testimony analysis of the growing affordability challenges faced by low-income households in the Companies' service areas, I believe that increasing Consumer Advocate staffing levels in accordance with the Companies' proposals would serve the public interest.

[16] Staff Consumer Services Panel, *supra* note 11, at 41.

Site Investigation and Remediation Costs

KEDNY SIR Recovery Surcharge Mechanism

Q. Please describe the KEDNY Site Investigation and Remediation (SIR) Recovery Surcharge Mechanism.

A. The SIR Surcharge Recovery Mechanism was first ordered in KEDNY's 2016 rate case (16-G-0058). It is a mechanism by which the Company can recover – from ratepayers – clean-up costs related to the Gowanus Canal and the Newtown Creek Superfund sites as they are incurred. The mechanism includes a cap on any single year recovery of 2% of the Companies' prior year aggregate revenue.

Q. Has Staff stated a position on the KEDNY SIR Recovery Surcharge Mechanism?

A. Yes. The Staff SIR Panel stated that "the SIR Recovery Surcharge Mechanism would enable KEDNY to appropriately recover significant incremental costs associated with [the Gowanus Canal and Newtown Creek Superfund] sites in a manner that would not unreasonably impact ratepayers."[17]

Q. Do you agree with Staff's statement that the Mechanism "would not unreasonably impact ratepayers"?

A. No, not as proposed.

Q. Why not?

A. It is unreasonable to expect KEDNY's customers to potentially have to pay 100% of the Company's share of the clean-up costs of Newtown Creek and the Gowanus Canal.

Q. Is there an Earnings Share Mechanism (ESM) in the Companies' most recent Joint Proposal that provides for some form of environmental clean-up cost sharing between ratepayers and shareholders?

[17] *See*, Staff Site Investigation & Remediation Panel, Cases 23-G-0225 et al., at 54-55.

A. Yes, but this ESM only goes into effect if KEDNY's ROE exceeds 9.8 percent – an amount that the Company has not achieved in the rate plan thus far. Even if the Company were to meet this high bar, only 50% of its share of earnings above 9.8% would go toward paying down SIR costs. There is a high likelihood, then, that the ESM as currently designed will have little to no impact on the final amount that ratepayers will have to pay for SIR costs. Therefore, I believe that this mechanism should continue only to the extent that:

1. The Commission makes public an updated cumulative assessment of the amount of any costs attributable to deviations by KEDNY from the requirements of the Commissions 2012 Order Concerning Costs for Site Investigation and Remediation in Case 11-M-0034, and requires a shareholder-funded reduction in the balance of deferred environmental costs (Account 182.3) recoverable from ratepayers by any such amounts, and;
2. In the event that these proceedings result in a multi-year settlement that includes an ESM;
    - No "dead band" be included in the ESM;
    - Shareholders and ratepayers share any earnings derived from actual returns in excess of authorized ROE evenly, and;
    - Both KEDNY's share and the customer share of any ESM adopted in these proceedings be used to pay down Deferred Environmental Costs.

Conclusion

Q. Does this conclude your rebuttal testimony?

A. Yes.